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Supreme Court of California
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Case No. S284498

In the

Supreme Court

of the

State of California

DANA HOHENSHELT,
Plaintiff and Petitioner,

v.

SUPERIOR COURT OF LOS ANGELES COUNTY,
Respondent,

and

GOLDEN STATE FOODS CORP.,
Defendant and Real Party in Interest.

ON REVIEW OF A DECISION FROM THE CALIFORNIA COURT OF APPEAL
SECOND APPELLATE DISTRICT, DIVISION EIGHT, CASE NO. B327524
LOS ANGELES SUPERIOR COURT · HON. THOMAS FALLS · NO. 20PSCV00827

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INTRODUCTION

In the Answering Brief ("Answering Brief" or "Answering Br."), Hohenshelt does not meaningfully respond to the argument that sections 1281.97 *et seq*. interfere with the fundamental attributes of arbitration. (Opening Br. at pp. 42-45; Answering Br. at p. 32.)[1] In addition, Hohenshelt concedes that SB 707 created a new "unique standard" for "material breach" that applies only to arbitration agreements. (Answering Br. at p. 29.) This ends the inquiry. There is no dispute that the law "modifies ordinary contract principles in a manner uniquely applicable in the arbitration context." (*Burgos v. Citibank, N.A.* (N.D. Cal. Aug. 16, 2024), Case No. 23-CV-01907-AMO, 2024 WL 3875775, *4-5 ("*Burgos*")). "Because of this, the statute violates the equal-treatment principle." (*Ibid*.) And the decision below must be reversed.

Furthermore, the Answering Brief downplays or ignores at least three recent developments since this Court granted the Petition for Review, each of which vindicates Justice Wiley's dissent:

First, this Court issued its decision in *Quach*, which held that the standard for waiver of the right to arbitrate must be the same as the standard for waiver of other contractual rights. (*Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562.) The only response in the Answering Brief is that *Quach* "simply affirmed . . . straightforward principle[s]," and Golden State Foods

[1] Capitalized names, terms, and phrases have the same meaning ascribed to them in Golden State Foods' Opening Brief.

supposedly "reads far too much into the holdings." (Answering Br. at p. 33.)

Second, the Second District issued its decision in *Hernandez*, which became the first California appellate majority opinion holding that section 1281.97 is preempted by the FAA. (*Hernandez v. Sohnen Enter*. (2024) 102 Cal.App.5th 222.) On August 21, 2024, this Court granted review, denied a request to depublish the decision, and ordered that the decision may be cited by trial courts in order to choose sides between conflicting preemption decisions. (*Hernandez v. Sohnen Enter*. (Cal. 2024) 53 P.3d 866.) Hohenshelt mentions *Hernandez* once, only to acknowledge the existence of the decision, and without attempting to refute its sound reasoning. (Answering Br. at p.2.)

Third, three federal district courts in the Northern District of California issued decisions holding that the law is preempted by the FAA. Thus, at least *six* federal district courts in the Northern District of California have concluded that the law is preempted by the FAA. (*Belyea v. Greensky, Inc.* (N.D. Cal. 2022) 637 F.Supp.3d 745; *Miller v. Plex, Inc.* (N.D. Cal. Jan. 20, 2024) Case No. 22-cv-05015, 2024 WL 348820; *Ding v. Structure Therapeutics,* Inc. (N.D. Cal. Oct. 29, 2024) Case No. 24-cv-01368-JSC, 2024 WL 4609593 ("*Ding*"); *Russell v. Siemens Industry Software Inc*., (N.D. Cal. Oct. 21, 2024) Case No. 23-cv-03884-LJC, 2024 WL 4545970; *Burgos, supra,* 2024 WL 3875775 at pp. *4-5; *Lee v. Citigroup Corp.*

Holdings, Inc. (N.D. Cal. Aug. 29, 2023) Case No. 22-CV-02718-SK, 2023 WL 6132959, *3[2].)

In this case, Golden State Foods paid all arbitration fees before the due date set by the arbitrator, the trial court found that Golden State Foods intended to proceed "with alacrity," and the arbitrator was willing and prepared to hear the case on schedule. Nonetheless, because Golden State Foods did not pay an earlier, outdated invoice while the arbitrator was absent, under sections 1281.97 *et seq.*: (a) Golden State Foods materially breached its agreement to arbitrate, and waived all contractual rights, by operation of law; (b) Hohenshelt was allowed to unilaterally withdraw from the arbitration; (c) the $50,000 that Golden State Foods already had paid to the arbitrator was forfeited. The FAA does not sanction this result. Accordingly, Golden State Foods respectfully requests that this Court reverse the decision below, and allow the parties to resolve their disputes through arbitration as agreed.

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[2] In a subsequent decision, the *Lee* Court lifted the arbitration stay after the arbitration provider terminated the arbitration. (*Lee v. Citigroup Corp. Holdings, Inc.* (N.D. Cal. Sept. 14, 2023) 691 F.Supp.3d 1157.) In addition, in *Mosley v. Wells Fargo*, the Court compelled the dispute to arbitration, without reaching the preemption question, because sections 1281.97 did "not apply to the arbitration at all." (*Mosley v. Wells Fargo (*N.D. Cal. Nov. 14, 2024) No. 24-cv-03173-JST, 2024 WL 4804972.)

ARGUMENT

A. Sections 1281.97 *et seq.* Violate the Equal Treatment Principle

1. Hohenshelt's Contention That SB 707 Merely Established "Procedural" Rules Has No Merit

Hohenshelt first argues that SB 707 is "not preempted[] because the FAA does not preempt state laws establishing *procedures* for conducting arbitration." (Answering Br. at p. 15 [emphasis in original].) According to Hohenshelt, the Act "'merely prescribes the order of proceedings' and does not "affect the enforceability of the agreement itself.'" (*Id.* at p. 17 [quoting *Doctor's Assocs., Inc. v. Casarotto* (1996) 517 U.S. 681, 688].) These contentions have no merit.

First, whether a law is preempted does not turn on whether it is procedural or substantive. (*Belyea*, *supra*, 637 F. Supp. 3d at 758 [characterizing section 1281.97 as a "procedural" rule "makes no difference to the equal-treatment inquiry".) More than 40 years ago, the Supreme Court confirmed that section 2 mandates enforcement of arbitration agreements "notwithstanding any state substantive or *procedural* policies to the contrary." (*Moses H. Cone Mem'l Hosp. v. Mercury Constr. Corp.* (1983) 460 U.S. 1, 24 [emphasis added].) In *Rosenthal v. Great W. Fin. Sec. Corp.*, this Court again emphasized that "a state *procedural* statute or rule that frustrated the effectuation of section 2's central policy would, where the federal law applied, be preempted" by the FAA. (*Rosenthal v. Great W. Fin. Sec. Corp.* (1996) 14 Cal. 4th 394, 408 [emphasis added].) Under Hohenshelt's view, States could simply

enact limitless "procedural" barriers that make arbitration exceedingly difficult or impossible. This "would make it trivially easy for States to undermine the Act." (*Kindred Nursing Centers Ltd. P'ship v. Clark* (2017) 581 U.S. 246, 247.)

Second, sections 1281.97 *et seq*. are *not* merely procedural. The law expressly authorizes a non-drafting party to "unilaterally elect to . . . [¶] [w]ithdraw the claim from arbitration and proceed in a court." (§ 1281.98, subd. (b); § 1281.97, subd. (b).) By definition, the law does not "merely prescribe[] the 'order of proceedings,'" and it does "affect the enforceability of the arbitration agreement itself." (Answering Br. at p. 17 [quoting *Doctor's Assocs., supra,* 517 U.S. at p. 688].) The law "make[s] arbitration agreements *unenforceable*." (*Hohenshelt v. Superior Ct*. (2024) 99 Cal.App.5th 1319, 1329 [dis. opn. of Wiley, J.] [quoting *Belyea v. GreenSky, Inc.* (N.D.Cal. 2022) 637 F.Supp.3d 745, 759] [emphasis in original].)

Hohenshelt's argument that the law merely affects the "order of proceedings" ignores the events *in this case.* The majority below agreed that applying the law "entitled Hohenshelt to withdraw" and "had the effect of *ending* the arbitration in this case." (*Hohenshelt*, *supra*, 99 Cal.App.5th at pp. 1325-26) [quoting (*Gallo v. Wood Ranch USA, Inc.* (2022) 81 Cal.App.5th 621, 645] [emphasis in original].) Section 1281.98 clearly "affect[ed] the enforceability of the arbitration agreement itself," as it deprived Golden State Foods of the right to enforce the agreement altogether.

Furthermore, the law is not merely "procedural" for a separate and equally fundamental reason. In the Answering Brief,

Hohenshelt concedes that sections 1281.97 and 1281.98 "statutorily define[] a material breach as a matter of law." (*Gallo, supra,* 81 Cal.App.5th at p. 644; Answering Br. at pp. 29 [agreeing "it is true that a material breach is defined by statute"], 36 ["SB 707 . . . *defines when a drafting party has breached* its payment obligations in *a contract to arbitrate*."] [emphasis added].) Thus, these statutory provisions modify California's *substantive* law of contracts. (See *Burgos, supra,* 2024 WL 3875775, at pp. *4-5 ["Waiver and breach are, of course, background principles of contract law."] [quoting *Belyea*, *supra*, 637 F. Supp. 3d at pp. 756-57].)

Hohenshelt argues that this "unique standard" for arbitration agreements is necessary because, for "employees and consumers who must vindicate their rights in arbitration, '"no breach is immaterial."' (Answering Br. at p. 29 [quoting *Gallo*, *supra*, 81 Cal.App.5th at p. 644].) *Gallo* did not hold that every breach is material. The Court was describing the reasoning of the legislature. (*Gallo*, *supra*, 81 Cal.App.5th at p. 644.) The proposition that every breach is material turns California law on its head. (See Opening Br. at 29.) If States are free to side-step the savings clause by *redefining* contract law for arbitration agreements only, the savings clause would lose all force. (See *Burgos*, *supra*, 2024 WL 3875775, at pp. *4-5.) Hohenshelt does not address this argument.

Hohenshelt makes the sweeping assertion that section 2 only "applies to laws that, 'on their face,' preclude enforcement of entire categories of arbitration agreements." (Answering Br. at

19.) This argument finds no support in the statutory text. (9 U.S.C. § 2.) The statute does not refer to "categories of arbitration agreements." The law is written in the singular, confirming that each and every arbitration agreement governed by the FAA is protected by the statutory enforcement guarantee. (*Id.* ["*an* agreement in writing to submit to arbitration . . . shall be valid, irrevocable, and enforceable"] [emphasis added].) Under the nebulous concept of "entire categories of arbitration agreements," a law could never be preempted by the FAA as applied. (E.g., *Miller, supra,* 2024 WL 348820, at *4-5.)

In any event, SB 707 *does* preclude enforcement of entire categories of arbitration agreements. As explained in *Hernandez*, SB 707 "limits the enforceability of *certain types of arbitration agreements* by allowing consumers and employees to elect to avoid arbitration even in cases of minor, inadvertent, or inconsequential delay." (*Hernandez, supra,* 102 Cal.App.5th at p. 244 [emphasis added].) The law precludes the drafting party from enforcing the "entire category" of agreements that require employers to pay for the arbitration and where the arbitration fees are not paid within 30 days. (§§ 1281.97(a), 1281.98(a).)

The Court rejected a similar argument in *Saheli v. White Memorial Medical Center*. (*Saheli v. White Memorial Medical Center* (2018) 21 Cal.App.5th 308 ("*Saheli*").). There, the Court held that the FAA preempted Civil Code sections 51.7 and 52.1, which created special requirements for agreements to arbitrate claims brought under the Ralph Civil Rights Act (Cal. Civ. Code § 51.7 (the "Ralph Act")) and the Tom Bane Civil Rights Act (Cal.

Civ. Code § 52.1 (the "Bane Act")), respectively. (*Saheli*, *supra*, Cal.App.5th at p. 313.) The Court noted that:

> Saheli suggests that sections 51.7's and 52.1's special requirements escape FAA preemption because they merely place restrictions on arbitration agreements and do not ban them outright. We disagree. It is well-established that a law need not prohibit entirely arbitration agreements to be preempted by the FAA. Rather, it is sufficient, as is the case here, that the state law "conditions the enforceability of arbitration agreements on compliance with a special . . . requirement not applicable to contracts generally."

(*Id*. at p. 326.)

Citing *Gallo* and *Postmates Inc. v. 10,356 Individuals*, Hohenshelt argues that the law "simply 'gives the employee or consumer the option of continuing in arbitration or returning to a judicial forum.'" (Answering Br. at p. 21 [quoting *Gallo*, *supra*, 81 Cal.App.5tth at p.642] [citing *Postmates Inc. v. 10,356 Individuals* (C.D. Cal. Jan. 19, 2021) Case No. CV-202783-PSGJEMX, *8].) The Answering Brief cites *Gallo fifteen* times, but it does not even address Golden State Foods' argument that *Gallo* demands reversal here. (Opening Br. at pp. 45-50; Answering Br. at pp. 2, 13, 14, 17, 21, 23, 24, 27, 29-31.)[3] *Postmates* is factually inapposite and was decided before *Viking River*, *Quach*, and *Beylea*. (See

[3] Hohenshelt asserts that "[t]he instance [sic] matter is akin to *Volt Information Sciences, Inc. v. Board of Trustees of Leland Stanford Junior Univ.* (1989) 489 U.S. 468" (Answering Br. at p. 20), but that case supports Golden State Foods' position (Opening Br. at p. 22-23). In *Discover Bank*, this Court explained that *Volt* "was intended to explain why *the procedural rules provided in arbitration agreements* should be enforced." (*Discover Bank v. Superior Ct.* (2005) 36 Cal.4th 148, 166 [emphasis added].)

Miller, *supra*, 2024 WL 438820 at p. *5 (distinguishing *Postmates* and other authorities on the grounds that they "predate[] the issuance of *Belyea* and *Lee*"].)[4]

In any event, giving one party the "option" to withdraw from the arbitration impairs the other party's right to enforce their agreement to arbitrate by definition. As explained in *Belyea*:

> Enforcement discretion also makes no difference. In *Postmates, Gallo*, and *Espinoza*, the courts emphasized that CCP § 1281.97 does not "automatically render arbitration agreements unenforceable—it simply gives non-drafting parties the option to choose to litigate their claim in a court of appropriate jurisdiction or compel arbitration." *Postmates*, 2021 WL 540155, at *8; *see also Espinoza*, 83 Cal. App. 5th 761 at 782-84, 299 Cal.Rptr.3d 751; *Gallo*, 81 Cal. App. 5th at 642, 297 Cal.Rptr.3d 373. But it is not clear why that matters. Any non-breaching party can choose to continue to enforce a contract against a party in breach. What matters under CCP § 1281.97 is that the drafting party may no longer enforce the agreement if they miss a 30-day payment deadline—which, as shown above, is a condition unique to arbitration agreements in California. A rule affects the "enforceability" of a contract when it determines that one side may enforce the contract, but the other may not.

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[4] There, over 11,000 delivery drivers filed individual arbitration demands against Postmates. Section 1281.97 required Postmates to pay over $4,000,000 in initial arbitration fees within 30 days. (*Id*. at p. *3.) Postmates refused to pay and instead sued the delivery drivers in federal court, seeking a declaration that it could "not be compelled to arbitrate." (*Ibid*.) Here, by contrast, Golden State Foods did not refuse to pay, and any delay in payment had no effect on the arbitration schedule. (Opening Br. at pp. 16-17.)

(*Belyea*, *supra*, 637 F. Supp. 3d at p. 758.) Under Hohenshelt's view, State legislatures can enact blatantly anti-arbitration laws that vitiate a party's contractual right on a hair-trigger, and avoid section 2's enforcement guarantee by simply giving consumers and employees the "choice" of whether or not to proceed in arbitration. Again, this would make it "trivially easy" for States to bypass section 2's enforcement guarantee. (*Kindred Nursing Centers Ltd. P'ship., supra,* 581 U.S. at p. 247.)

Hohenshelt cites no case in which any Court upheld a law that specifically targets arbitration by name and deprived a party of the right to enforce its agreement. As explained in the Opening Brief, this case is controlled by *Doctor's Associates,* and Hohenshelt's attempt to distinguish that case is extremely strained. (Opening Br. at p. 36 [citing *Doctor's Assocs., supra,* 517 U.S. at p. 688].) According to Hohenshelt, the "crucial factor . . . is whether parties can 'get into arbitration,'" and section 2 supposedly only applies "[i]f the answer is no." (Answering Br. at p. 20.) In other words, once a case is ordered to arbitration, section 2 has no force. No authority supports this novel proposition. Section 2 states that arbitration agreements "shall be . . . enforceable"—not shall be enforceable "until the parties get into arbitration." (9 U.S.C. § 2.) In *Doctor's Associates*, the "crucial factor" was not the stage of proceedings, but rather the fact that the notice requirement in the Montana statute under consideration—like the requirements established by sections 1281.97 *et seq*.—applied specifically and solely contracts "subject to arbitration." (*Doctor's Assocs., supra*, 517 U.S. at p.683.)

Hohenshelt cites several other provisions of the CAA and arbitration acts of other States, but his reliance on these authorities is misplaced. (Answering Br. at pp. 5, 24, 30-31.) According to Hohenshelt, these statutes are examples of "procedural distinctions" between the FAA and State law that "have been upheld as consistent with the FAA." (Answering Br. at p. 5; (§ 1281.2 [authorizing specific enforcement of arbitration agreements]; § 1281.2, subd. (c) [authorizing stay of arbitration pending resolution of related litigation] [cited in Answering Brief at p. 5]; § 1281.91 [setting forth procedures for disqualification of arbitrators] [cited in Answering Br. at p. 5]; N.H. Rev. Stat. Ann. § 542:8 [setting forth procedures for confirmation, correction, modification, or vacating arbitration awards] [cited in Answering Brief at p. 31]; 42 Pa. Cons. Stat. Ann. § 7314 [setting forth procedures for vacating arbitration awards] [cited in Answering Br. at pp. 24, 31]; *Nafta Traders, Inc. v. Quinn* (Tex. 2011) 339 S.W.3d 84 ("*Nafta Traders*") [rejecting preemption challenge to sections 171.087 and 171.088 of the Texas Arbitration Act, which set forth the procedures for confirmation and vacating arbitration awards] [cited in Answering Br. at p. 16].)

None of the statutory provisions cited by Hohenshelt purports to redefine the standard for breach of contract, waiver of the contractual right to arbitrate, or any other aspect of substantive State contract law. None of the statutory provisions eliminates a party's right to enforce its agreement to arbitrate. None of the statutory provisions create new, unique sanctions for breach of an arbitration agreement. Most of the provisions address

procedures *after* the arbitration. These stark differences confirm that sections 1281.97 *et seq*. are not merely "procedural rules."

The New Hampshire Supreme Court's decision in *Finn v. Ballentine Partners, LLC* (2016) 169 N.H. 128 (cited in Answering Brief at pp. 16, 20, 31) strongly supports Golden State Foods' position. There, the Court explained that N.H. Rev. Stat. Ann. § 542:8 did not affect the "enforcement of an agreement to arbitrate, but rather applies *after* an agreement to arbitrate has already been enforced, arbitration conducted, and a final award issued." (*Finn*, *supra*, 169 N.H. at 142 [emphasis in original].) Furthermore, in *Finn*, the parties expressly agreed that New Hampshire law would govern the arbitral award. (*Id.* at p. 144.) The Court concluded that "applying RSA 542:8 to the arbitral award, the trial court . . . enforce[ed] [the] parties' agreement[] according to [its] terms." (*Ibid*.) This is the same reasoning employed by *Gallo*, and it demonstrates that where, as here, the parties expressly incorporate the FAA's and JAMS' procedural rules and do not reference the law of a particular State, forcing the parties to be bound by the State law violates the FAA. (Opening Br. at pp. 45-46.)

2. Hohenshelt's Contention That SB 707 Is "Pro-Arbitration" Has No Merit

Hohenshelt argues that SB 707 is not preempted by the FAA because it supposedly is "emphatically pro-arbitration." (Answering Br. at p. 24; see *id*. at pp. 23-29.) This contention has no merit.

As an initial matter, Hohenshelt's entire argument is self-defeating. The FAA's "policy in favor of arbitration" *does not* mean

that legislatures and courts can devise rules that "encourage" arbitration. (Opening Br. at p. 23.) In *Ding*, the Court rejected the exact same argument that sections 1281.97 *et seq*. "further—rather than frustrate—the objectives of the FAA." (*Ding*, *supra*, 2024 WL 4609593 at p. *7.) The Court explained that "[t]he federal policy is about treating arbitration agreements like all others, not about fostering arbitration." (*Ibid.*; Opening Br. at pp. 23, 48.)

In any event, SB 707 is not pro-arbitration. (Opening Br. at pp. 46-50.) Hohenshelt insists that the statutory scheme merely "giv[es] parties to an arbitration contract the tools to move the arbitration process forward." (Answering Br. at p. 26.) This does not comport with reality. The law gives one party (the non-drafting party) the exclusive and unilateral right to "withdraw" from the arbitration proceeding. (§§ 1281.97, subd. (b)(1), 1281.98, subd. (b)(1), 1281.99, subd. (b)(2).) It punishes companies and discourages arbitration agreements by mandating the imposition of sanctions. (§ 1281.99, subd. (a).) The law provides arbitrators with a menu of sanctions that effectively terminate the case in favor of the employee or consumer. (§1281.99, subds. (b)(1) [order prohibiting the drafting party from conducting discovery], (b)(2)(A) [order striking the drafting party's pleadings], (b)(2)(B) [order rendering judgment against the drafting party].)

As explained by the Court in *Hernandez*:

> [The law] limits the enforceability of certain types of arbitration agreements by allowing consumers and employees to elect to avoid arbitration even in cases of minor, inadvertent, or inconsequential delay. *Imposing a higher standard for enforcement of arbitration agreements in consumer and employee*

> *disputes is contrary to the FAA's policy to ensure arbitration agreements are as enforceable as other contracts.*

(*Hernandez*, *supra*,102 Cal.App.5th at p. 244 [disagreeing with the claim that "California courts [that] have concluded section 1281.97 furthers the goals of the FAA by encouraging or facilitating arbitration"]; see also *Belyea*, *supra*, 637 F. Supp. 3d at p. 757 [rejecting the argument that SB 707 "make[s] arbitration *more effective*"] [emphasis in original]; *Hohenshelt*, *supra*, 99 Cal.App.5th at pp. 1328-29 [dis. opn. of Wiley, J.] [explaining that Court's decision in *Beylea* "debunked" the "pro-statute argument"]; *Lee, supra,* 2023 WL 6132959, at p. *2 ["The Court finds that the reasoning of *Belyea* is correct."].) The reasoning in *Hernandez* is consistent with *Quach*, where this Court characterized the higher standard for waiver under *St. Agnes* as "more favorabl[e]" to arbitration. (*Quach*, *supra*, 16 Cal.5th at p. 579; Opening Br. at p. 47.)

Hohenshelt asserts several reasons why SB 707 supposedly is pro-arbitration, but none withstands scrutiny:

First, Hohenshelt argues that "SB 707 *facilitates* arbitration by requiring the prompt payment of required arbitration fees." (Answering Br. at p. 23 [emphasis in original].) As explained above, this is neither accurate nor relevant. The purpose of the FAA is not to "facilitate arbitration," but rather to guarantee enforcement of arbitration agreements "according to their terms." (Opening Br. at pp. 22-23 [quoting *Volt, supra,* 489 U.S. at p. 478].) SB 707 undermines the FAA because it mandates Golden State Foods pay arbitration invoices within strict deadlines that appear

nowhere in the contract or lose the right to arbitrate. (Compare Pet. Appx. at pp. 29 ¶ 6, 35-3 with § 1281.98, subd. (a)(1).)

Furthermore, even assuming for the sake of argument that the law does "facilitate" arbitration, the *means* by which the law accomplishes this offend the FAA. As the Court explained in *Beylea*:

> CCP § 1281.97 is a stick—failure to pay within 30-days constitutes material breach of the arbitration agreement and waiver of the right to enforce the contract—not a carrot to incentivize arbitration. While there is a benefit for paying on time, that benefit is simply not being hit by the stick—*i.e.*, losing a contractually binding right to arbitrate disputes. CCP § 1281.97 only aids arbitration because failure to comply makes the arbitration agreement unenforceable. That is exactly what 9 U.S.C. § 2 prohibits unless all contracts would be unenforceable under the same circumstances ... [¶] To summarize ... Belyea attempts to argue that CCP § 1281.97 encourages arbitration. But how? It does so by making arbitration agreements unenforceable.

(Belyea, *supra*, 637 F. Supp. 3d at pp. 757-59.) Simply put, the FAA does not authorize courts to render certain arbitration agreements unenforceable simply to "encourage" performance of others. (*Hohenshelt*, *supra*, 99 Cal.App.5th at pp. 1328-29 [dis. opn. of Wiley, J ["Federal law does not allow a state to save arbitration by destroying it."].)

Second, Hohenshelt argues that SB 707 is pro-arbitration because it "ensures that arbitration will proceed expeditiously." (Answering Br. at p. 24.) This is a non-sequitur. While speedy resolution is unquestionably a *benefit* of arbitration, the goal of the FAA is not to ensure that arbitration proceeds "expeditiously."

(Opening Br. at pp. 46-50.) Hohenshelt does not respond to this argument.[5]

Moreover, sections 1281.97 *et seq*. increase the overall cost of litigation and delay resolution of claims. (Opening Br. at pp. 48-50.) Hohenshelt asserts that this is "speculation" (Answering Br. at p. 27, fn. 2.), but it is not. The design of the law (which allows a party to unilaterally withdraw from the arbitration) guarantees delay, and it is empirically proven in this case and others. (Pet. Appx. at pp. 234-38 [setting final hearing date for November 2022]; Opening Br. at pp. 33-34 [citing *Espinoza v. Superior Court* (2022) 83 Cal.App.5th 761; *Doe v. Superior Ct.* (2023) 95 Cal.App.5th 346; *Suarez v. Superior Court of San Diego* (2024) 99 Cal.App.5th 32].) By contrast, Hohenshelt's assertion that the law "encourages" the speedy resolution of claims is purely hypothetical.

Third, Hohenshelt argues that SB 707 is pro-arbitration because it "reinforces the parties' existing contractual obligations" and the parties "intend[ed] to pursue a 'speedy' resolution." (Answering Br. at p. 28.) These contentions have no merit for the reasons explained above. (*Supra* at p. 16.) The enacted law does

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[5] Hohenshelt's own authority supports Golden State Foods' position. In *Nafta Traders*, the Texas Supreme Court explained that Courts cannot "replace the FAA's 'principal purpose' of enforcing arbitration agreements with arbitration's 'essential virtue' of expedition." (*Nafta Traders, supra*, 339 S.W.3d at p. 94.) This is because "[p]arties agree to arbitration for reasons other than speed and cost, such as flexibility, privacy, and in some instances, expertise." (*Ibid*.) Furthermore, "it would hardly make sense to force more expedition on parties than they want." (*Ibid*.)

not "reinforce" the parties' existing agreement; it effectively rewrites it for the benefit of Hohenshelt.

Fourth, Hohenshelt argues that the "[l]egislative history underscores SB 707's pro-arbitration design." (Answering Br. at 25.) SB 707 discriminates against arbitration on its face and precluded enforcement of the arbitration agreement in this case as applied. Thus, there is no need for this Court to even consider the legislative history. (*Equilon Enterprises v. Consumer Cause, Inc.* (2002) 29 Cal.4th 53, 59 ["When interpreting statutes, we follow the Legislature's intent, as exhibited by the plain meaning of the actual words of the law."].) In any event, the legislative history of SB 707 confirms that it is not "pro-arbitration."

3. The Legislative History of SB 707 Confirms That the Act is Not Pro-Arbitration

a. The Historical Context

Hohenshelt concedes that the FAA was enacted in response to hostility towards arbitration. (Answering Br. at p. 15; Opening Br. at p. 21.) In dissenting below, Justice Wiley set forth a detailed chronology of reversals by the Supreme Court that inform his view that "California law over the last few decades has not been a friend to arbitration." (*Hohenshelt*, *supra*, 99 Cal.App.5th at pp. 1327-29 [dis. opn. of Wiley, J.].) Hohenshelt does not address this historical backdrop.

In the years before SB 707's enactment, "two prior assembly bills" took aim at mandatory arbitration of claims brought by employees. (*Chamber of Commerce of United States v. Becerra* (E.D. Cal. 2020) 438 F.Supp.3d 1078, 1089 ("*Becerra*").) AB 2617 imposed special requirements for agreements to arbitrate claims

arising under the Ralph Act and Bane Act. (*Saheli*, *supra*, 21 Cal.App.5th at pp. 267-68.) AB 465 proposed a similar law under the California Labor Code. (*Becerra*, 438 F.Supp.3d at p. 1089.). Former Governor Jerry Brown vetoed AB 465 "to allow courts to resolve the then-pending FAA preemption challenges to AB 2617." (*Ibid.*) In *Saheli*, the Court held that AB 2617 "unquestionably discriminate[s] against arbitration by placing restrictions on waivers of judicial forums and procedures." (*Saheli*, *supra,* 21 Cal. App.5th at p. 323.)

In 2019, Governor Gavin Newsom assumed office. As explained in the Opening Brief, at the time, the legislature continued to express frustration with the "lengthy and extensive history" of courts "striking down state laws that discriminate against arbitration agreements"—which is exactly what the FAA requires. (Opening Br. at p. 30; Sen. Com. on Judiciary Rep. on Assem. Bill No. 51 (2019-2020 Reg. Sess.) p. 7.) Governor Newsom signed AB 51 on October 10, 2019, and SB 707 three days later.

AB 51 added section 12953 to the Government Code and section 432.6 to the Labor Code. Together, these provisions made it a misdemeanor for any employer to require an employee to agree to arbitration as a condition of employment. (*Becerra*, *supra*, 438 F.Supp.3d at p. 1087.) On December 9, 2019, the Chamber of Commerce and other associations filed a complaint asking the Court to declare AB 51 preempted by the FAA, as well as a motion for preliminary injunction. (*Id.* at p. 1098.)

On February 7, 2020, Chief Judge Mueller granted the motion for preliminary injunction. (*Becerra*, *supra*, 438 F.Supp.3d

at p. 1100.) Chief Judge Mueller concluded that "the law's clear target is arbitration agreements" based on "concern regarding overabundance of arbitration agreements." (*Id*. at p. 1098.) It was AB 51's "embodiment of a 'legal rule hinging on the primary characteristic of an arbitration agreement,' *Kindred*, 137 S. Ct. at 1427, and placing 'arbitration agreements in a class apart from 'any contract,' *Casarotto*, 517 U.S. at 688, that is the law's fatal flaw." (*Becerra, supra,* 438 F.Supp.3d at p.1098.) SB 707 suffers from the exact same fatal flaw.

On February 15, 2023, the Ninth Circuit affirmed Chief Judge Mueller's order granting the preliminary injunction. (*Chamber of Com. of the United States v. Bonta* (9th Cir. 2023) 62 F.4th 473, 478 ("*Bonta II*").[6] The Ninth Circuit concluded that "all provisions of AB 51 work together to burden" arbitration

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[6] On appeal, the Ninth Circuit initially vacated the preliminary injunction, but later withdrew that opinion and issued a new opinion affirming the preliminary injunction. (*Chamber of Com. of the United States v. Bonta* (9th Cir. 2021) 13 F.4th 766 ("*Bonta I*"); *Bonta II*, 62 F.4th 473.) Hohenshelt attempts to distinguish AB 51 from SB 707 by arguing that "AB 51 prohibited the very *formation* of arbitration . . . [b]y contrast SB 707 imposes no burden on the formation of arbitration agreements." (Answering Br. at pp. 28-29 [emphasis in original].) This ignores that the Ninth Circuit panel split precisely *because* AB 51—unlike SB 707—only "regulate[d] conduct <u>preceding</u> arbitration agreements," and dissenting Justice Lucero's view was that the law did not directly "render executed agreements themselves invalid or unenforceable." (*Bonta II*, 62 F.4th at p. 494 [dis. opn. of Lucero, J.] [emphasis in original].) Justice Lucero, however, *agreed* that the majority's "reasoning would be persuasive if . . . AB 51 regulated the enforcement or validity of arbitration agreements"—which SB 707 does. (*Id.* at p. 491 [dis. opn. of Lucero, J.].)

agreements, and its "penalty-based scheme . . . violates the 'equal-treatment principle." (*Id*. at p. 490.) On January, 2024, Chief Judge Mueller entered an order permanently enjoining enforcement of section 12953 to the Government Code and section 432.6 to the Labor Code. (*Chamber of Commerce v. Bonta* (E.D. Cal. Jan. 2, 2024) Case No. 2:19-cv-02456, 2024 WL 3564626.)

b. The Enactment of SB 707

According to Hohenshelt, the same legislature that attempted to *criminalize* offering employees an agreement to arbitrate (through AB 51) sought to enact "pro-arbitration" legislation three days later (through SB 707). This contention defies common sense and is belied by the legislative history of SB 707.

Like AB 51, SB 707's "legislative history acknowledges [that] the primary target of the bill is agreements to arbitrate." (*Becerra*, 438 F. Supp. 3d at p. 1097.) In the Answering Brief, Hohenshelt concedes that the legislature enacted SB 707 based on its view that arbitration is "forced" upon employees, which is fundamentally incorrect. (Answering Br. at p. 6; *Volt*, *supra*, 489 U.S. at p. 479 ["Arbitration under the [FAA] is a matter of consent, not coercion."].) According to one of SB 707's sponsors, arbitration proceedings "*overwhelmingly favor[] businesses and employers*," and SB 707 was aimed at this "ever-growing aspect of consumer transactions and employment relationships." (Sen. Comm. on Judiciary Rep. on Senate Bill 707 (2019-2020 Reg. Sess.) p. 11 [emphasis added]). The Assembly Judiciary Committee's Report states that companies "should reconsider their liberal use of

binding arbitration provisions" to reduce the risk of the "unforgiving sanctions" codified in section 1281.99. (Assem. Com. on Judiciary Rep. on Senate Bill No. 707 (2019-2020 Reg. Sess.) p. 10.)

Hohenshelt argues that the law was intended to "build on the Ninth Circuit's decisions in *Brown v. Dillard's, Inc.* (9th Cir. 2005) and *Sink v. Aden Enterprises, Inc.* (9th Cir. 2003)" and ensure that employers do not "stall" arbitrations by refusing to pay fees. (Answering Br. at 8, 26; Legis. Counsel's Dig., Sen. Bill No. 707 (2019-2020 Reg. Sess.) [stating that the intent of SB 707 is to "affirm" *Brown* and *Sink*].) But both *Brown* and *Sink* hold that the determination of whether a party has breached its agreement to arbitrate is a *question of fact* that depends on the circumstances. (Opening Br. at pp. 26-27.) SB 707 does not "affirm" those decisions, it vitiates them.

Furthermore, the legislative history fails to substantiate the "concerning and troubling trend" of companies stalling arbitrations. (Sen. Comm. on Judiciary Rep. on Senate Bill 707 (2019-2020 Reg. Sess.) p. 6.) The Senate Report identifies just *three* examples over a *five year* period. (*Id.* at p. 6-8.) In all three examples, *thousands* of similarly situated plaintiffs filed arbitration demands, and the companies (Uber, Lyft, and Chipotle) allegedly owed substantial arbitration fees for each individual arbitration. (*Ibid.*) These examples are not typical and do not demonstrate the supposed trend. [7]

[7] Hohenshelt also argues that sections 3 and 4 of the FAA "make clear that a party . . . cannot stall the arbitral process.," and

B. Sections 1281.97 *et seq.* Interfere with the Fundamental Aspects of Arbitration

As explained in the Opening Brief, sections 1281.97 *et seq*. interfere with the fundamental aspects of arbitration because, among other reasons, the statutory scheme (1) strips arbitrators of basic authority over their own finances; (2) eliminates individualized determinations of waiver and breach in favor of arbitrary standards crafted by the State; (3) infuses procedural rigor stricter than judicial proceedings; and (4) casts doubt over the fundamental expectation that parties will not be hauled into court after agreeing to arbitrate. (Opening Br. at pp. 42-45.) Hohenshelt concedes all of these arguments. (Answering Br. at p. 32.) The decision below should be reversed on these grounds alone.[8]

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establish that a "corporation cannot have its cake—e.g., by forcing an individual to arbitrate—and eat it too—e.g. by stalling the arbitral process by withholding payment." (Answering Br. at p. 19 [citing 9 U.S.C. §§ 3-4; *Sink, supra,* 352 F. 3d at p. 1201].) As an initial matter, this does not resemble the circumstances here. Furthermore, the argument only suggests that there was no need to enact SB 707.

[8] Hohenshelt's only argument is that two cases cited in the Opening Brief (*Sonic-Calabasas* and *Western Bagel*) supposedly did not consider "a pro-arbitration rule." (Answering Br. at p. 32.) But the authorities make clear the FAA preempts any law that interferes with the fundamental aspects of arbitration, regardless of whether the law encourages arbitration. (*Id*.; (*Concepcion*, *supra*, 563 U.S. at p. 344.)

C. The Divide Between Federal and State Courts Mandates Preemption

Hohenshelt does not quarrel with the proposition that, if there is a substantial divide between Federal and State Courts, the FAA mandates preemption. (Opening Br. at pp. 50-51; Answering Br. at p. 30.)

First, Hohenshelt argues that "Federal courts, like California courts, do apply SB 707 when the parties' arbitration agreement is governed by California law." (Answering Br. at p. 30.) Hohenshelt does not dispute, however, that Federal and State courts are divided where, as here, the arbitration agreement is governed by the FAA. (Pet. Appx. at pp. 35-48.)

Second, Hohenshelt argues that it is "hardly surprising" that arbitration procedures "vary from forum to forum." (Answering Br. at p. 30.) Again, the divide is *not* that the procedures differ in Federal and State Courts. The divide is that Federal courts are trending towards holding that the FAA preempts sections 1281.97 *et seq*., and the majority of California Appellate Courts hold the opposite. This encourages forum-shopping and undermines section 2's enforcement guarantee. (Opening Br. at pp. 50-51.)

D. Sections 1281.97 *et seq*. Disincentivize Arbitration

As explained in the Opening Brief, sections 1281.97 *et seq*. work together to create a penalty-based scheme. (Opening Br. at pp. 41-42.) Hohenshelt argues that, supposedly, contracting parties "generally do not plan to miss payments" and therefore the law will not "disincentivize businesses from agreeing to arbitration." (Answering Br. at p. 31.) This ignores the reality of

the strict deadlines, and it is demonstrably incorrect. The mandatory 30-day deadline may not afford a company sufficient time to challenge the forum or amount of the arbitrator's invoice.

Hohenshelt's argument is belied by the legislative history of SB 707, which confirms that the purpose of the sanctions is to deter companies from offering arbitration agreements. (Assem. Com. On Judiciary Rep. on Senate Bill No. 707 (2019-2020 Reg. Sess.) p. 10 ["Perhaps, in order to lessen their risk of sanctions, *drafting parties should reconsider their liberal use of binding arbitration provisions in contracts*, or at a minimum, consider drafting these agreement in a manner that provides all parties increased access to the court system in the event circumstances arise that warrant adjudicating disputes in court."] [emphasis added].)

The Second District's recent decision in *Trujillo v. J-M Manufacturing Co.* is instructive. (*Trujillo v. J-M Manufacturing Co.* (2024) 107 Cal.App.5th 56.) There, an employee sent a proposed arbitration agreement to her former employer, which included proposed terms that mirrored sections 1281.97 *et seq*. (*Id.* at p. *2.) The employer's counsel responded by expressing agreement on all terms except "the harshness of [the] proposed term requiring [the company] to pay [the arbitrator] in 30 days or forfeit rights." (*Ibid*.) The attorney specifically explained that the company considered these terms "unduly harsh and . . . risks forfeiting its right to arbitrate if it reasonably disputes [the arbitrator's] bill." (*Ibid*.) The attorney advised that ultimately, the company "can't stipulate to it"—in other words, there would be no agreement to arbitrate, and the claims would proceed in court.

(*Ibid.*) Thus, *Trujillo* demonstrates that companies do consider sections 1281.97 *et seq.*'s deadlines and penalties, and that they strongly disincentivize arbitration.

E. The CAA's Procedural Rules Do Not Apply to the Parties' Arbitration

As explained in the Opening Brief, sections 1281.97 *et seq.* do not apply to the arbitration between Hohenshelt and Golden State Foods because they expressly agreed that the arbitration is governed by the FAA's and JAMS' procedural rules. (Opening Br. at pp. 51-56.) Golden State Foods did not "waive" this argument. The arguments and additional authorities in the Opening Brief are designed to assist this Court, and ensure harmony with its recent decision in *Quach*. Indeed, in responding to this argument on the merits, the first case Hohenshelt relies on is this Court's decision *Quach*. (Answering Br. at p. 35.)

Under Rule 8.516, subdivision (b)(1), this Court "may decide any issues that are raised or fairly included in the petition or answer." (Cal. Rule Ct., Rule 8.156, subd. (b)(1).) Since this dispute arose more than three years ago, Golden State Foods' position consistently has been that the CAA's statutory provisions at issue cannot be applied to prevent enforcement of the Arbitration Agreement because it is governed by the FAA. Before the trial court, Golden State Foods argued that applying the law would be "in contravention of the FAA." (Pet. Appx. at p. 327.) Before the Court of Appeal, in addition to preemption, Golden State Foods specifically argued that the trial court properly concluded that its payments were timely made based on JAMS'

own procedural rules. (Opposition to Petition for Writ of Mandate at pp. 12-16.)

The first sentence of the Petition for Review states that the Petition "presents important and 'substantial questions' relating to the application of the FAA . . . to employment contracts." (*Ibid.* [quotation marks omitted].) The Petition specifically argues that the CAA cannot be applied because the parties "agreed to abide by the *FAA and procedural rules* of a specified arbitration provider." (Pet. at pp. 38 [emphasis in original].) Indeed, a determination that a statutory provision in the CAA is preempted presupposes that the statute would be applied in the case. Thus, the threshold question of whether sections 1281.97 *et seq.* apply was raised and fairly included in the Petition for Review.

Under Rule 8.516, subdivision (b)(2), this Court "may decide an issue that is neither raised nor fairly included . . . if the case presents the issue and the court has given the parties reasonable notice and opportunity to brief and argue it." (Cal. Rule Ct., Rule 8.156, subd. (b)(2).) The question of whether sections 1281.97 *et seq.* apply is fully briefed. (Opening Br. at pp. 51-56; Answering Br. at pp. 33-36.) To the extent the Court believes that notice is required or additional briefing would be helpful, Golden State Foods waives any notice and is prepared to submit additional briefing.

As to the merits, Hohenshelt cites *Quach* for the proposition that the CAA's procedural rules apply by default, and the parties "need not explicitly agree to be bound by California's procedural rules." (Answering Br. at p. 35 [citing *Quach*, *supra*, 16 Cal.5th at

p. 582].) Both the plain language of the Arbitration Agreement, and the numerous authorities cited in the Opening Brief, establish that the parties did "explicitly agree" that the FAA's and JAMS' procedural rules apply. (Opening Br. at pp. 51-56.)

CONCLUSION

For the foregoing reasons, Golden State Foods respectfully submits that the decision below should be reversed, and this matter should proceed in the arbitral forum to which the parties agreed.

Dated: January 9, 2025

Respectfully submitted,

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(California Rule of Court 8.520(c)(1))

I, Melvin L. Felton, certify pursuant to the California Rules of Court that this Reply Brief on the Merits contains 6,818 words in proportionately-spaced, 13-point Century Schoolbook type as calculated by the Microsoft Word software used to prepare it.

Dated: January 9, 2025

Respectfully submitted,

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